

and with competitors particularly. Now so far as fundamental research is concerned I can't see that Contrary Opinion is too important. What people think IBM is going to do in the way of earnings and dividends has probably relatively little effect on what IBM does accomplish—yes, some effect—because if people have a good opinion of you maybe you are apt to do things that you wouldn't do so well if they had a poor opinion of you. But it is not a large factor. Again, one thing we do in particular; our men go around to competitors which is the first place you go to find out about a given company. We get the general opinion that a particular company is able, well run, and so forth and so on. We don't go contrary to that; we use it in [reaching] our conclusions. So Contrary Opinion probably wouldn't be useful there, either.

Next I'd like to discuss a rather subtle application of the principle of Contrary Opinion. Let us look at a certain kind of what might be called emotional involvement. Emotional involvement is a very broad thing—it comes up constantly in many forms. For example, an analyst gets emotionally involved with a company he goes to see, a psychiatrist gets emotionally involved with his patient, and the sexes get emotionally involved with each other (to put it mildly). This is something we have to allow for. When we find an analyst is getting that way—and you can tell almost by the tone of his voice and the way he looks when he talks about a company that this is happening—we cannot afford to satisfy the deep human instinct of faithfulness and trust which underlie emotional involvement. Because of the very nature of our business we have to follow the "love 'em and leave 'em" principle.

When troubles loom ahead for a company, what is one's natural instinct? You want to take off your coat and get out with management to tackle and solve the difficulties. But unfortunately that isn't our business, which is to keep investment dollars working in the most productive media. The men running the company involved of course stay with it through thick and thin, but our question always has to be whether other pastures may not be greener. We have the